THE CONCEPT OF TOTAL RISK

Do you know how much portfolio risk you can handle? I will tell you that it is not all about market risk. There is a lot going on in your life besides your investments. What happens outside your portfolio can affect how you react to your portfolio. For example, if the markets are down, typically the economy is slow or slowing, which means that consumer confidence is low, and perhaps your job at risk. These outside influences create stresses in your life that may affect the way you invest your well-thought-out strategy.

Your asset allocation should take into account potential stresses that may not seem to have direct impact on the asset allocation process. I spoke with one person in late 2009 who said she sold stocks at the bottom of the bear market. Now she wanted to go back in at the same 60 percent stock allocation. My reaction was that she was investing above her tolerance for risk in 2009 and that going back in at a 60 percent in stock was a mistake. It was my opinion that she would only make the same knee-jerk emotional mistake again during the next bear market. She insisted that she would not because last time she had just been through a messy divorce, her mother took ill and she had to move in to help, and her dog died.

The loss of a job or any other loss can cause investors to abandon their investment policy even if the portfolio was set to the right risk level for the investors based only on their future financial needs. A change in health can make people feel as though they have less control over their life, and this may cause them to over-compensate in an area they can control, such as changing their investment portfolio.

One does not often think about job security, family matters, family health, and the amount of debt you owe as factors in an asset allocation decision, but they very important. Making an emotional decision to change your portfolio when other factors are stressing you typically does not lead to a better outcome. Ignoring outside risk factors when setting a portfolio asset allocation strategy can lead to too much “life” risk, and that can produce behavioral mistakes down the road.

In this second edition of *All About Asset Allocation*, I have enhanced the behavioral finance section. There is also a new chapter on when to change an allocation and how to do it. These new tools assist investors with